State of Texas

Comprehensive IT Landscape and Strategic Account Intelligence Report

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1. Executive Summary & Macro Landscape

The State of Texas represents one of the most lucrative, complex, and rapidly evolving public sector technology markets in the world. Operating as the eighth-largest economy globally with a gross domestic product exceeding $2.6 trillion, the state commands immense financial resources fueled by diverse industries ranging from advanced energy production to aerospace and global logistics.[1] Entering the 2026-2027 fiscal biennium, the state government is defined by a period of historic financial expenditure, profound technological reorganization, and a fiercely independent political climate that increasingly views technological sovereignty as a cornerstone of state security. The 89th Legislative Session concluded with the passage of a colossal $335.7 billion biennial budget (All Funds), including $154 billion in General Revenue, representing a 16.3% increase over the previous base appropriation act.[2]

The legislative environment in Texas is highly concentrated and strategically aggressive. While the 89th session saw a historically low overall bill passage rate of approximately 14%, the legislation that did pass fundamentally reshaped the state's financial and technological posture.[3] Furthermore, the legislature utilized a massive $13.7 billion supplemental spending bill, House Bill 500 (HB 500), to inject one-time capital into infrastructure, cybersecurity, and institutional expansions.[4] This legislative maneuvering signals a state administration that views technological modernization, physical infrastructure hardening, and defensive cyber capabilities not merely as IT operational necessities, but as critical pillars of state sovereignty and economic resilience against both domestic disruptions and international threats.[4]

Politically, the executive and legislative branches are tightly unified in their focus on border security, economic deregulation, energy grid resilience, and aggressive defense against nation-state adversarial threats.[1] This macro-environment has catalyzed a fundamental restructuring of the state's technology apparatus, representing a paradigm shift in how the state procures, manages, and secures its digital assets. Most notably, the traditional centralized IT authority—the Department of Information Resources (DIR)—is undergoing a phased, systemic transition. The state is actively shedding its core cybersecurity operations from civilian oversight within DIR to a newly formed, highly militarized "Texas Cyber Command" (TXCC), a transition mandated for completion by the end of 2026.[6] Simultaneously, the state has elevated artificial intelligence from an emerging, experimental concept to a core strategic pillar, evidenced by the promotion of the state's Chief AI & Innovation Officer to the role of State Chief Information Officer (CIO).[7]

For the current and upcoming fiscal years, the state's technology investments are driven by four core administrative goals. First, the state is prioritizing Economic Development and Technological Innovation, backed by massive capital injections such as a $300 million Space Exploration and Aeronautics Research Trust Fund, designed to cement Texas as a leader in next-generation industries.[8] Second, Adversarial Threat Defense and Cybersecurity Centralization stand as paramount mandates, focusing on hardening the state's attack surface against foreign adversaries—specifically targeting critical infrastructure—through the launch of

the Texas Cyber Command and supported by massive new capital investments, including a highly specialized $150 million cybersecurity infrastructure project in Lubbock.[1] Third, the state is pursuing aggressive Infrastructure Resiliency and Modernization, allocating historic funding to water systems, transportation chokepoints, and the energy grid, which in turn requires advanced edge computing, predictive analytics, and massive Internet of Things (IoT) telemetry ingestion.[1] Finally, Digital Government Experience and AI Readiness form the foundation of the state's interaction with its citizens, requiring overhauls of citizen-facing platforms like Texas.gov, the implementation of responsible AI frameworks (such as the NIST AI Risk Management Framework), and adherence to the newly enacted Texas Responsible AI Governance Act (TRAIGA) to accommodate a rapidly growing population while reducing the administrative burden on a highly strained state workforce. Furthermore, the passage of House Bill 5195 establishes a legal mandate for all state agencies to assess and modernize their digital services and websites using user-centered design, fueling a statewide push for accessible digital experiences.

2. Power Structure & Key Stakeholders

The technological power structure in Texas is highly bifurcated between the legislative appropriators who control the capital flow and the executive IT leaders who dictate architectural standards. Following the departure of former State CIO Amanda Crawford to the Department of Insurance, the technology leadership landscape has shifted dramatically, placing artificial intelligence expertise and military-grade cybersecurity at the absolute forefront of the state's strategic vision.[7] Understanding the interplay between the financial purchasers in the legislature and the technical influencers in the executive branch is critical for mapping large-scale enterprise technology sales motions.

Name	Title / Agency	Sphere of Influence	Recent Public Stances on Technology & Strategic Priorities
Greg Abbott	Governor, State of Texas	**Elected Leadership / Mandate Driver**	Directed the creation of the Texas Cyber Command to counter threats from the People's Republic of China and criminal networks. Prioritizes border security, energy grid resilience, and historic investments in water/transport infrastructure. Champions state-funded innovation initiatives.[1]
Dan Patrick	Lieutenant Governor	**Elected Leadership / Policy Enforcer**	Controls the Senate agenda and committee assignments. Focuses heavily on government accountability, agency cost reduction, and hardening critical infrastructure against physical and cyber threats. Drives legislative inquiries into agency operational efficiencies.[13]
Joan Huffman	Chair, Senate Finance Committee	**Financial Purchaser / Appropriator**	Manages the Senate's budget drafting process. Highly influential in approving supplemental IT expenditures and scrutinizing agency capital budget transfer requests. Maintains strict oversight over the financial mechanics of state agency modernization efforts.[14]
Greg Bonnen	Chair, House Appropriation s Committee	**Financial Purchaser / Appropriator**	Principal architect of the $335.7 billion state budget. Exercises strict oversight on agency spending and drove the $13.7 billion House Bill 500 supplemental infrastructure package, moving massive amounts of capital into strategic technological investments.[15]
Tony Sauerhoff	Executive Director & State CIO, DIR	**IT Leadership / Technical Mandate**	Promoted from Chief AI & Innovation Officer to CIO in early 2026. Focuses heavily on integrating the Texas AI Code of Ethics, modernizing digital services, and maintaining operational continuity during the highly complex DIR-to-TXCC cybersecurity transition.[6]

TJ White	Chief, Texas Cyber Command (TXCC)	**IT Leadership / Technical Mandate**	Retired Navy Admiral and former Commander of US Fleet Cyber Command. Appointed to militarize the state's cyber posture. Treats state infrastructure vulnerabilities as a "whole-of-state" problem requiring defense-grade architecture, zero-trust implementation, and cross-agency intelligence sharing.[11]
Sarah Melecki	Director of System Integration, HHSC	**Agency IT Leadership / Technical Influencer**	Oversees massive system integration efforts across the Health and Human Services Commission. Focused on legacy system modernization, streamlining eligibility systems (TIERS), and managing the technological sprawl and data governance of state hospitals and living centers.[19]

The dynamics between these stakeholders dictate the flow of technology procurement. Governor Abbott sets the overarching strategic mandates—such as border security and critical infrastructure protection—which are then funded by the legislative appropriators led by Representative Bonnen and Senator Huffman. These appropriators are highly skeptical of recurring operational costs, preferring to fund massive, one-time capital expenditures like the HB 500 supplemental bill.[4]

On the technical execution side, the environment is undergoing a historic split. CIO Tony Sauerhoff represents the civilian, administrative, and innovative wing of state IT. With his background in artificial intelligence, he is driving agencies toward the adoption of the NIST AI Risk Management Framework, cloud modernization, and the enhancement of the citizen digital experience through the Texas.gov ecosystem.[6] Conversely, Chief TJ White represents the militarization of state IT. Operating the Texas Cyber Command, White is tasked with treating the state's digital infrastructure as a theater of war, focusing on EMP-hardened facilities, ruggedized edge deployments, and defending against adversarial nation-states.[11] Account strategies must therefore be bifurcated: pitches to DIR and civilian agencies should lead with AI readiness, data governance, and operational efficiency, while pitches aligning with TXCC or the Department of Public Safety (DPS) must lead with zero-trust architectures, supply chain security, and ruggedized, air-gapped resilience.

3. IT Governance & Service Delivery Model

Operating Model: Hybrid-Consolidated through Shared Technology Services (STS)

The State of Texas operates under a highly structured, heavily legislated hybrid-consolidated IT delivery model. While individual state agencies retain distinct IT budgets, dedicated Chief Information Officers, and control over their specific programmatic applications, they do not operate in a vacuum. State agencies are statutorily mandated to procure core infrastructure, cloud hosting, and security services through the Department of Information Resources (DIR) via the centralized Shared Technology Services (STS) program.[22]

The STS program is a massive, highly complex ecosystem that encompasses Data Center Services (DCS), Managed Security Services (MSS), Texas.gov, and the Open Data Portal.[23] The governance architecture relies on an intricate Multi-sourcing Services Integrator (MSI) framework based on Information Technology Infrastructure Library (ITIL) methodologies.[24] Rather than DIR owning the hardware and operating the data centers directly with state employees, DIR contracts with an MSI to manage a portfolio of Service Component Providers (SCPs).[25] Texas Government Code Section 2054.391 explicitly requires state agencies to host their applications within the DCS program—utilizing either the Texas Private Cloud or a managed public cloud environment provided by the SCPs—unless they undergo a rigorous review process and are granted a formal DCS exemption by DIR.[22]

The oversight of these massive technology deployments is further complicated by the Quality Assurance Team (QAT). Any Major Information Resources Project (MIRP)—typically defined by high financial thresholds or critical operational impact—must be reviewed and monitored by the QAT, which consists of representatives from the Legislative Budget Board (LBB), DIR, the Comptroller of Public Accounts (CPA), and the State Auditor's Office (SAO).[26] This multi-agency oversight ensures strict adherence to the Texas Project Delivery Framework but introduces significant bureaucratic friction and extended procurement timelines that technology vendors must factor into their sales cycles.

Friction Points: The Chargeback Crisis and Capital Scrutiny

The STS model, while theoretically designed to provide economies of scale and standardize IT maturity across the state, has generated severe operational friction and legislative pushback regarding its chargeback mechanisms. Agencies are billed as customers for their consumption of STS and DCS services. However, due to escalating general consumption costs, highly unpredictable public cloud egress fees, and the rigid, often opaque pricing models of the incumbent SCPs, many state agencies face significant, recurring budget shortfalls in their operational expenditure (OpEx) accounts.

This friction reached a critical boiling point during the 89th Legislative Session. The Legislative Budget Board, acting as the financial watchdog for the legislature, noted that actual agency

utilization of the STS program was falling below the previously forecasted consumption levels. Consequently, the LBB recommended a massive $33.7 million decrease in the Statewide Technology Account budget for the 2026-2027 biennium.[27] To force accountability and transparency into the program, the LBB instituted strict legislative riders attached to DIR's funding. Rider 9 requires DIR to specify a reporting deadline for actual spending on STS by customer agencies and mandates the publication of a list identifying the top 10 agencies with the highest billed discrepancies compared to their allocated capital budgets.[27] Furthermore, a new legislative mandate—Rider 14—demands that DIR provide a detailed report estimating the actual cost savings and tangible benefits achieved by the STS program, indicating profound legislative skepticism regarding the program's overall financial efficiency.[27]

To cope with these intense chargeback pressures and operational deficits, agencies are actively exploiting legislative loopholes. Specifically, they are utilizing Article IX, Sec. 14.03 of the General Appropriations Act, which allows agencies to transfer capital budget appropriations away from the STS program to procure independent staff augmentation contracts or alternative capital infrastructure, provided the LBB does not issue a written disapproval within 30 days.[27] This creates a highly volatile, highly opportunistic procurement environment where agencies are actively seeking ways to optimize, repatriate, or cap their consumption of DIR-managed cloud services to avoid budgetary penalties. For infrastructure vendors, this friction represents a massive opening to position cost-predictable, on-premise cloud-like consumption models that bypass the unpredictable variable costs of public cloud deployments managed through the STS SCPs.

4. Financials & Budget Breakdown

The State of Texas operates on a biennial budget cycle, providing a two-year window of financial predictability. The 89th Legislature passed the General Appropriations Act for the 2026-2027 biennium alongside massive supplemental appropriations, creating a highly liquid environment for technology capital expenditures.

Total & Central IT Budget

The total state budget for the 2026-2027 biennium is $335.7 billion in All Funds, an enormous figure that reflects the state's rapidly expanding population and infrastructure needs.[2] Within this, the Department of Information Resources is recommended for a centralized budget of **$1,578,349,308**. This represents a slight 1.2% decrease ($19.7 million) from the previous base, a reduction largely attributed to the shifting of core cybersecurity responsibilities to the newly formed TXCC and the completion of several one-time security improvement projects.[27]

Budget Category / Program	2026-2027 Allocation	Description & Funding Source
Total DIR Recommended Budget	**$1,578,349,308**	Total centralized IT budget cap, inclusive of 316.0 Full-Time Equivalents (FTEs), which includes 49.0 new FTEs for procurement and operations.[27]
Shared Technology Services (STS) / DCS	**$1,048.4 million**	Vendor payments for mainframe, server, network, public/private cloud, and application services. Represents recurring operational spend (O&M) and chargebacks.[27]
Telecommunications (TEX-AN & CCTS)	**$231.9 million**	Vendor payments for voice, data, wireless, and internet services across state agencies and the Capitol Complex. Forecasted to increase due to consumption.[27]
DIR Core Cybersecurity Operations	**$189.6 million**	Reduced by $43.4 million due to the transition of responsibilities to TXCC and completion of Regional Security Operations Centers (RSOC) funding.[27]
Texas.gov Operations	**$108.4 million**	Operations, maintenance, and modernization of the state's digital portal and application infrastructure.[27]
eProcurement System Enhancements	**$2.8 million**	Dedicated Other Funds to enhance the state's digital procurement capabilities.[27]

Note: Data Unavailable regarding the explicit financial separation of specific OEM hardware capitalization versus software licensing and professional services within the $1.048 billion STS vendor payment umbrella. These figures are shielded behind the proprietary pricing models of the MSI and SCP contractors and are not itemized in public LBB disclosures.[27]

High-Spend Agency IT Budgets

While DIR manages the centralized hosting and network contracts, individual state agencies command massive, independent IT capital budgets earmarked for distinct modernization initiatives.

Agency	Total IT / Capitalization Request	Key Modernization Allocations
Department of Public Safety (DPS)	**$441 million**	Includes $105M for IT acquisitions, $97M for disaster recovery/modernization, $51M for capital equipment, $27M for secure crime records, and $22M for advanced analytics and threat detection.[28]
Health and Human Services Commission (HHSC)	**$232.1 million** (Specific IT Capital)	Out of a $93.4B total budget, IT capitalization includes $66.2M for Medicaid Management Information Systems (MMIS), $69.6M for TIERS, $87.7M for DCS consolidation, and $8.6M for a cloud data analytics platform.[19]
Office of Court Administration	**$11.9 million**	Appropriated via HB 500 specifically for replacing the Texas Appellate Case Management System.[30]

Grants, Supplemental Funding, and One-Time Injections

The financial landscape for the upcoming biennium was drastically altered by **House Bill 500**, a $13.7 billion supplemental spending bill. The legislature utilized this vehicle to deploy excess state capital before the new biennium officially begins, bypassing typical recurring budget constraints. The bill lacks meaningful sunset clauses or restraints on recurring obligations, framing massive capital expansions as one-time infrastructure investments.[4]

Supplemental / Grant Program	Allocation	Strategic Purpose & Target
Lubbock Cybersecurity Infrastructure (HB 500)	**$150 million**	A massive one-time capital investment partnering with Texas Tech University and the Reese Redevelopment Authority to build critical cybersecurity infrastructure, including a specialized electromagnetic pulse (EMP) testing and defense site.[4]
Space Exploration & Aeronautics Trust Fund	**$300 million**	Establishes a major state-level investment into the aerospace sector to drive technological innovation and industrial development.[4]
El Paso & Amarillo State Hospitals (HB 500)	**$309 million**	$150M to complete the El Paso State Hospital and $159M for a new 75-bed facility in Amarillo, requiring massive new IT infrastructure, physical security, and HIPAA-compliant data networks.[4]
State and Local Cybersecurity Grant Program (SLCGP)	**Federal Pass-Through**	Texas is actively distributing federal SLCGP funds, coordinated by the state cybersecurity committee, targeting local government cyber maturity, endpoint detection rollouts, and incident response planning.[32]

5. Strategic Initiatives & Projects (Focus on Top 3)

The state is currently executing several highly capitalized modernization efforts that extend far beyond routine hardware refreshes. The following three initiatives represent the highest strategic and financial value for enterprise technology intervention, driven by distinct executive mandates and requiring complex architectural solutions.

Initiative 1: The Texas Cyber Command (TXCC) and Adversarial Threat Defense

- **The Executive Mandate:** Driven directly by Governor Greg Abbott's executive orders and the 2024-2028 State Strategic Plan for Information Resources, Texas is fundamentally reorganizing its cybersecurity posture. Moving away from a purely civilian, compliance-driven approach, statewide cybersecurity functions are transitioning from DIR to the newly formed Texas Cyber Command by the end of 2026.[6] Under the leadership of Chief TJ White—a retired Navy Admiral and former Commander of US Fleet Cyber Command—TXCC is mandated to build a military-grade defense apparatus.[11] The explicit goal is to protect the state's critical infrastructure (water systems, energy grids, and transportation networks) from sophisticated nation-state actors (specifically citing the People's Republic of China) and organized ransomware syndicates.[1] Chief White has publicly stated that infrastructure vulnerabilities are a "whole-of-state" problem, requiring a unified, defense-in-depth approach.[18]
- **The Owning Agency:** Texas Cyber Command (TXCC), operating in close technical coordination with the Department of Public Safety (DPS) and DIR.[12]
- **The Underlying IT Requirement:** This initiative demands the extreme hardening of the state's digital footprint. It mandates the deployment of comprehensive zero-trust network architectures, advanced Security Information and Event Management (SIEM) systems, and Security Orchestration, Automation, and Response (SOAR) capabilities capable of inter-agency intelligence sharing. The physical infrastructure requirements are equally stringent. The $150 million HB 500 Lubbock project explicitly calls for EMP-resistant infrastructure and critical cybersecurity hardware.[10] Furthermore, DPS's $27 million secure crime record system and $22 million advanced analytics upgrades require ruggedized, air-gapped, and highly resilient edge compute and storage platforms capable of processing massive threat intelligence datasets locally without relying on vulnerable wide-area network connections.[28]

Initiative 2: HHSC System Modernization & Data Center Consolidation

- **The Executive Mandate:** Bound by LBB Rider 175, House Bill 5 (from previous legislative sessions), and strict federal Centers for Medicare & Medicaid Services (CMS) compliance requirements, the Health and Human Services Commission (HHSC) is mandated to execute a comprehensive 10-year Information Technology and Data Services Modernization plan. This binding directive requires the total replacement of legacy

systems, aggressive server consolidation into the DIR DCS program, and the establishment of an automated, interoperable system-wide data analytics and performance management architecture.[34]

- **The Owning Agency:** Health and Human Services Commission (HHSC).
- **The Underlying IT Requirement:** HHSC is an operational behemoth. It manages a $93.4 billion budget and employs over 36,000 staff members. Crucially, it operates 13 state-supported living centers and 10 state hospitals that run 24 hours a day, 365 days a year.[29] The agency struggles with staffing, maintaining a 3.55% vacancy rate in eligibility roles and a 6.16% vacancy rate in state hospitals, driving a desperate need for automation and system reliability.[35] The sheer volume of unstructured data—comprising patient records, tele-health video logs, and IoT medical device telemetry—is staggering. The capitalization of $66.2 million for the Medicaid Management Information Systems (MMIS), $69.6 million for the Texas Integrated Eligibility Redesign System (TIERS), and $87.7 million for DCS consolidation requires a massive hybrid-cloud intervention.[19] Crucially, HHSC is actively executing the next phase of its Medicaid Enterprise System (MES) modernization strategy. This involves the multi-year reprocurement of massive modular contracts, specifically the Application Maintenance and Development Services (AMD) and Electronic Visit Verification System Management Services (EVV) modules. HHSC requires highly scalable, strictly HIPAA-compliant storage architectures, rapid large-scale data migration tools, and secure hyperconverged infrastructure (HCI) to support remote hospital facilities while adhering to strict DIR centralized hosting mandates.[22]

Initiative 3: TxDOT Data-Driven System Performance and Intelligent Infrastructure

- **The Executive Mandate:** The Texas Department of Transportation (TxDOT) FY 2025-2029 Strategic Plan centers heavily on two core pillars: "Promoting Safety through Technology" and "System Performance." Fueled by record, multi-billion-dollar investments from Proposition 1 (severance taxes) and Proposition 7 (sales and use taxes), TxDOT is tasked with relieving the state's most severe congestion chokepoints, expanding logistics corridors, and maximizing transportation system uptime.[1] The mandate explicitly requires the use of data analysis, predictive visualization tools, and technological innovations to drive operational efficiency.[36] Furthermore, the state budget intertwines water and transportation infrastructure, addressing a State Water Plan that includes 2,400 management strategy projects with an estimated capital cost of $80 billion through 2070.[1]
- **The Owning Agency:** Texas Department of Transportation (TxDOT) and the Texas Water Development Board (TWDB).
- **The Underlying IT Requirement:** TxDOT's strategy demands the deployment of intelligent, ruggedized edge infrastructure capable of ingesting, processing, and analyzing massive streams of traffic telemetry, video analytics, and vehicular data in real-time. This requires edge computing platforms capable of operating reliably in harsh

Texas weather environments, localized storage clusters for caching high-definition video data, and robust AI-ready data center cores to run complex deep learning models for predictive maintenance and congestion relief. The strategic focus on "resiliency planning for capital assets" also necessitates robust disaster recovery architectures and continuous data protection methodologies to ensure the state's physical infrastructure is supported by an unbreakable digital backbone.[36]

6. Procurement, Vendor Landscape, & Compliance

Navigating the Texas public sector requires deep integration with state-mandated contract vehicles, an understanding of the entrenched incumbent ecosystem, and a profound grasp of a regulatory compliance landscape that has recently undergone severe, exclusionary changes.

Procurement Vehicles & Friction Points

Texas law strongly incentivizes, and often statutorily mandates, the use of state-specific cooperative contracts, frequently overriding national vehicles like NASPO ValuePoint or OMNIA Partners for core IT infrastructure. The primary vehicles include:

- **DIR Cooperative Contracts:** The foundational, mandatory vehicle for the procurement of hardware, software, and commercial IT services across all state agencies and eligible local governments.
- **Deliverables-Based IT Services (DBITS):** A specialized DIR contract framework used specifically for project-based IT services, custom application development, and complex system integration projects.[37]
- **Shared Technology Services (STS) Contracts:** For hosting and managed services. Crucially, if enterprise hardware is to be utilized within a state-managed data center, it frequently must be procured, leased, or integrated through the prime Service Component Providers (SCPs) holding the overarching STS infrastructure contracts, adding a layer of vendor partnership complexity.[22]

Vendors must also navigate a significant procedural trap in Texas agency procurement rules. In the event of a bid protest, current agency rules often allow decisions to be made without the disclosure of the underlying factual record upon which the award decision was based.[38] This effectively denies meaningful protest rights to bidders, forcing vendors to ensure their initial proposals are flawlessly aligned with evaluation criteria, as post-award challenges are highly unlikely to succeed.[38]

The Battlefield & Vendor Landscape

The Texas enterprise IT landscape is dominated by massive legacy System Integrators and cloud providers deeply entrenched within the DIR STS ecosystem.

- **Incumbent Footprints:** Companies such as Atos, IBM, Deloitte, SAIC, AT&T, and Xerox operate as the primary Service Component Providers (SCPs) within the STS framework,

managing the state's overarching infrastructure and multi-sourcing integration.[20] Rackspace recently expanded its footprint by winning a highly lucrative multicloud services contract to manage DIR's hybrid public clouds across Amazon Web Services (AWS), Microsoft Azure, and Google Cloud Platform (GCP).[39] Deloitte recently led a major redesign of the Texas.gov portal, though DIR is currently re-soliciting for a new Digital Government Services provider.[21]

- **The Modernization Battlefield:** Because agencies are highly frustrated by the STS chargeback models, unpredictable public cloud egress costs, and the bureaucracy of the QAT, there is a growing backlash against the "public cloud-first at any cost" mentality. Aging infrastructure—particularly legacy Storage Area Networks (SANs) and outdated compute clusters—in agencies that hold DCS exemptions (such as specialized law enforcement networks, isolated healthcare enclaves, or higher education research institutions) is ripe for modernization. These agencies are actively seeking to build cost-predictable, high-performance on-premise cloud equivalents to escape the STS billing cycle.

Compliance & Regulatory Drivers

The regulatory landscape in Texas has recently undergone a massive shift that directly impacts vendor viability and acts as a strict barrier to entry.

- **TX-RAMP vs. StateRAMP:** The Texas Risk and Authorization Management Program (TX-RAMP) is strictly enforced for any cloud computing service or connected technology processing state data. Level 1 (117 controls) is required for public data, while Level 2 (223 controls) is required for confidential data (PII/PHI).[40] **Crucially, as of October 30, 2024, FedRAMP and StateRAMP certified products are no longer automatically granted TX-RAMP reciprocity.** Vendors must now submit specific TX-RAMP reciprocity requests and undergo DIR validation.[42] A provisional 18-month status exists, but any vendor failing to update their permanent TX-RAMP status will be immediately locked out of all state cloud and connected-infrastructure procurements.[41]
- **CJIS & HIPAA Security Mandates:** Agencies like DPS and HHSC handle highly regulated, deeply sensitive data. HHSC requires strict adherence to HIPAA, the Texas Medical Records Privacy Act, and the Texas Identity Theft Enforcement and Protection Act.[43] Most importantly, the state mandates FIPS 140-2 validated encryption for all systems housing Criminal Justice Information Services (CJIS) data, HIPAA data, or IRS Federal Tax Information.[44]
- **AI Governance:** Under the guidance of CIO Tony Sauerhoff, agencies must now comply with the Texas AI Code of Ethics and actively align their technological deployments with the NIST AI Risk Management Framework.[6] This is now heavily reinforced by the Texas Responsible AI Governance Act (TRAIGA), which strictly prohibits government agencies from using AI for "social scores," establishes a state AI advisory council, and creates a regulatory sandbox for AI developers.

7. Actionable Dell Opportunities (The "So What")

Based on the intersection of the state's strategic mandates, financial allocations, internal governance friction, and the specific technological requirements of its largest agencies, Dell Technologies is uniquely positioned to execute the following strategic sales motions.

Funded Alignment: Capitalizing on Edge Expansion, Friction, and Hybrid Needs

- **APEX for STS Chargeback Mitigation:** The LBB's strict financial scrutiny of DIR's STS program (specifically Rider 9 and Rider 14) and the resultant agency budget deficits present a massive opportunity.[27] Agencies are desperate for the operational flexibility and rapid provisioning of the cloud, but they require the cost predictability of on-premise infrastructure to avoid punishing OpEx chargebacks from the SCPs. Dell must aggressively position **Dell APEX** (Storage, Compute, and Private Cloud as-a-Service) to agency CIOs and the prime STS integrators (like Atos and Rackspace). APEX offers the financial consumption model agencies want, while keeping data localized on-premise to permanently eliminate unpredictable public cloud egress cost spikes.
- **PowerEdge and Edge Computing for TXCC and DPS:** With $105 million allocated specifically for DPS IT acquisitions and a massive $150 million cybersecurity infrastructure facility being built in Lubbock [4], Dell must align its **PowerEdge XR ruggedized servers** and secure edge gateways to the state's defense mandate. DPS's ongoing border security operations and TXCC's adversarial defense mandates require deploying high-performance compute power directly to the Texas border and into isolated, EMP-hardened facilities. Dell's secure global supply chain and intrinsic server security (Silicon Root of Trust) align perfectly with TXCC Chief TJ White's military-grade defense requirements.[11]
- **AI-Ready Infrastructure for DIR and Core Agencies:** With Tony Sauerhoff (the former Chief AI Officer) now serving as State CIO, the mandate to implement the NIST AI Risk Management Framework and operationalize artificial intelligence is absolute.[6] Dell must position its **AI Factory with NVIDIA** and high-performance **PowerScale** storage architectures directly to DIR and data-heavy agencies like TxDOT. This provides the foundational infrastructure necessary for state agencies to build, train, and deploy sovereign, ethical, and responsible local AI models without risking the exposure of sensitive citizen data to public Large Language Models (LLMs). Positioning Dell's AI Factory as an on-premise, secure solution directly addresses the strict privacy guardrails and "social score" prohibitions introduced by the Texas Responsible AI Governance Act (TRAIGA).
- **Digital Modernization via House Bill 5195:** With the recent passage of HB 5195, all state agencies are legally mandated to modernize their web portals and digital services, with DIR tracking progress for a November 2026 legislative report. Dell can align its OEM web-hosting infrastructure and edge solutions to support the "user-centered design" and improved page load speeds required by this law.

Whitespace & Advisory: Solving the Unstructured Data and Resilience Crises

- **PowerProtect Cyber Recovery for State Hospitals and MES:** HHSC operates 10 state hospitals and 13 supported living centers around the clock, grappling with high staff vacancy rates and an explosion of digital health records.[29] The sprawl of unmanaged, unstructured healthcare data makes these critical facilities prime targets for ransomware syndicates. Dell should lead with a strategic advisory motion focusing on healthcare data governance, subsequently proposing **PowerProtect Cyber Recovery (Cyber Vaulting)**. Furthermore, Dell should align these hardware and cloud-repatriation pitches directly to the massive Application Maintenance and Development Services (AMD) and Electronic Visit Verification System (EVV) modular reprocurements currently underway within the Medicaid Enterprise System (MES) modernization effort.
- **Unstructured Data Sprawl at TxDOT:** TxDOT's strategic push for "data-driven system performance" implies an impending tsunami of unstructured data from highway cameras, IoT traffic sensors, and vehicular telematics.[36] Currently, TxDOT lacks a unified, highly optimized data lake strategy for this specific edge-to-core telemetry pipeline. Dell can advise TxDOT on data lifecycle management, positioning **PowerScale (Isilon)** as the premier scale-out NAS platform to ingest, store, and rapidly analyze massive video and telemetry data pools, enabling the real-time predictive mobility analytics that TxDOT's strategic plan explicitly demands.

Competitive Displacement: Repatriation and Disrupting the Status Quo

- **STS SecOps Displacement (DIR-CPO-STS-602):** DIR has recently released a pre-solicitation notice to procure a new vendor to manage, modernize, and evolve Security Operations (SecOps) across the entire STS data center ecosystem. Dell should partner aggressively with prime system integrators bidding on this massive contract, positioning Dell's managed detection and response (MDR), zero-trust architecture blueprints, and robust security portfolios as the foundational technology stack to win this massive displacement opportunity.
- **Public Cloud Repatriation via PowerStore:** Rackspace's multicloud contract leans heavily into pushing state workloads into AWS, Azure, and GCP.[39] However, as agencies run into budget deficits due to cloud scaling and egress costs, there is a highly lucrative whitespace opportunity for cloud repatriation. Dell can execute competitive displacements by targeting aging SANs (such as legacy Nimble or NetApp deployments) within DCS-exempt agencies or within specific on-premise enclaves. By mathematically proving that a modernization to **PowerStore** with intelligent tiering offers superior IOPs-per-dollar and predictable total cost of ownership compared to public cloud equivalents, Dell can pull critical workloads back on-premise.
- **Displacing Legacy Endpoint Fleets at HHSC/DPS:** The state's massive, highly distributed workforce—with HHSC alone employing 36,000 individuals—requires a resilient, secure endpoint ecosystem.[29] As remote work and field-based agency operations expand across the state's vast geography, legacy PC fleets lacking

hardware-level security represent a critical vulnerability. Dell can displace entrenched endpoint competitors by leading with **Dell Client Solutions (Latitude and OptiPlex portfolios)** featuring Dell Optimizer and built-in hardware security protections. This directly satisfies the stringent CJIS and HIPAA FIPS 140-2 endpoint security compliance mandates required by both HHSC and the Department of Public Safety [44], turning a standard client refresh into a strategic security imperative.

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